

PROMISSORY NOTE

For Value Received, **CITY OF CHEYENNE**, a Wyoming municipal corporation, whose principal office is located at 2101 O'Neil Avenue, Cheyenne, WY 82001 (the "City"), promises to pay to the order of **WYOMING BUSINESS COUNCIL** (together with the holder, from time to time, of this Note, the "Council"), **a body corporate organized under the laws of the State of Wyoming and operating as a state instrumentality operated solely for the public benefit**, whose principal office is located at 214 West 15th Street, Cheyenne, Wyoming 82001, the unpaid principal amount of up to **Three Million Dollars (\$3,000,000)** (the "Principal Sum"), together with interest on the principal amount outstanding from time to time, at the annual rate of **One-Half Percent (½%)**. This Promissory Note (this "Note") is made to evidence the loan of the Principal Sum to the City (the "Loan"). The Council's obligation to fund the Loan is fully subject to and conditioned upon the availability of funds appropriated therefor by the Wyoming State Legislature.

Section 1. Repayment of the Loan.

1.1. Payments Solely from Special Fund.

Notwithstanding anything in this Note or any Loan Document to the contrary and as provided in Section 4 hereof, no payment otherwise payable under this Note or any Loan Document shall be required to be paid by the City unless funds are available to the City from funds received by it (i) under that Track Lease Agreement for Rail Facilities Within Swan Ranch Rail Park, Cheyenne, Wyoming (the "Track Lease Agreement"), made on May 2, 2014, between the City and CLH, LLC, a Wyoming limited liability company, and joined in execution by Granite Peak Development Limited Partnership, a Wyoming limited partnership ("Granite"), (ii) pursuant to that Amended and Restated Project Development and Administration Agreement undated but executed by the City on May 2, 2014, and by Cheyenne-Laramie County Corporation for Economic Development (Cheyenne Leads), a Wyoming non-profit corporation and statutorily-authorized community development organization, and Granite on April 22, 2014, and/or (iii) any other funds related thereto, such as any interest earned on such funds and any late charges or other fees or other sums added to and made a part of such funds.

1.2. Annual Payments.

No interest or principal and interest payments will be due hereunder until the first day (the "Commencement Date") of month next following the date on which the Council accepts in writing the engineer's letter required under and described in Paragraph 8.7 of the Loan Agreement.

On each anniversary of the Commencement Date, and continuing to and including the third (3rd) anniversary of the Commencement Date (the "Conversion Date"), the City shall pay interest only on the balance of the Principal Sum outstanding from time to time as proceeds are advanced to the City under the Loan Agreement, which annual interest payments will be invoiced to the City by or on behalf of the Council.

Beginning on the fourth (4th) anniversary of the Commencement Date, the City shall pay equal annual installments of principal and interest calculated by the Council, based on an amortization period of seven (7) years of 365 (or 366) days each, and actual days elapsed.

On the tenth (10th) anniversary of the Commencement Date (the “Maturity Date”), the City shall pay the entire balance of the Principal Sum then unpaid, together with all interest accrued and unpaid through the Maturity Date.

1.3. Daily Calculation of Interest; Application of Payments.

Interest shall be computed daily based on the principal balance of the Principal Sum as drawn down and outstanding from time to time. Payments received from the City will be applied, first, to accrued and unpaid interest; and, lastly, to principal.

1.4. Payment in Full on Maturity.

The City shall pay all outstanding sums due hereunder on the Maturity Date.

1.5. Loan Cost.

The Loan shall always be at no cost to the Council, and all fees and expenses, including (without limitation) the Council’s counsel fees and expenses, the loan servicing fees, insurance premiums, recordation costs, cost of documentary stamps, transfer taxes, photocopying expenses, appraisals, travel expenses for the Council’s agents, employees, and counsel, and all other reasonable expenses relating to the Loan shall be paid by the City, whether incurred before, on, or after the date hereof, such that the Loan shall be free of cost to the Council.

Section 2. Additional Terms and Conditions.

2.1. Collateral.

This Note is secured by a (i) Collateral Assignment of Promissory Note, Mortgage, and Granite Loan Documents (defined below), (ii) a Collateral Assignment of Railroad Easement and Track Lease, and (iii) a Business Ready Community – Business Committed Loan and Security Agreement (the “Loan Agreement”) with Financing Statements on all certain improvements owned by the City and used in connection with the real property described as Parcels 2, 3, and 4 in Schedule 1 of the Loan Agreement (the “Property”) (collectively, the “Collateral”).

2.2. Program Compliance; Disbursement of Loan Proceeds.

The City covenants and agrees that it shall use the proceeds of the Loan solely for the costs of an infrastructure project where the City has a business committed to start-up, expand or locate in the community.

The proceeds of the Loan shall be disbursed in accordance with the Loan Agreement to the City only as needed to discharge obligations incurred in accordance with the Council-approved eligible project costs. Request for disbursement shall be made on a form supplied by the Council’s staff and supported by adequate proof that such an obligation has been incurred for the project purpose and is due and owing.

The Council’s staff may, at the City’s expense, conduct an audit of the records of the City and inspect the construction and operation of the project funded by proceeds of the Loan.

The City shall comply with the loan policies and procedures for Business Ready Community – Business Committed Loans, as adopted by the Council from time to time, a copy of which the City acknowledges having received on or before the date hereof.

2.3. Event of Default.

The occurrence of an Event of Default under any document made in connection with the Loan (each, a “Loan Document”, and collectively, including this Note, the “Loan Documents”) will constitute a material breach and a default under this Note. Failure to make any payment due hereunder on the date such payment came due shall also be an Event of Default under this Note.

2.4. Acceleration.

Upon the occurrence of an Event of Default and after any applicable grace and/or cure periods, the Council may declare the entire unpaid balance of this Note, together with interest accrued thereon, to be immediately due and payable and may proceed to exercise any and all rights, powers, and remedies that the Council may have under this Note or any other Loan Document or that may be available to the Council at law or in equity.

2.5. Remedies Cumulative and Non-Exclusive.

The Council is not required to first proceed against any Collateral for payment of this Note. All remedies conferred by this Note or any of the Loan Documents shall be cumulative, and none is exclusive.

Section 3. Other Provisions.

3.1. Waiver of Presentment.

Except as otherwise provided herein, presentment or other demand for payment, notice of dishonor, and protest are hereby expressly waived by the City.

3.2. Notices.

All notices, requests, and demands under this Note shall be in writing and made to the other party at its address set forth above or to such other address as such party shall have most recently designated by written notice.

3.3. Indemnity.

Each party to this Note shall assume the risk of any liability arising from its own conduct. Neither party agrees to insure, defend, or indemnify the other.

3.4. Governing Law.

All terms, conditions, and other provisions of this Note are to be determined, interpreted, construed, and otherwise governed by Wyoming law.

3.5. Lender's Right to Pay Expenses.

The Council may, but shall have no obligation to, if the Council deems it necessary in order to protect or preserve the Collateral, make payments or otherwise perform on behalf of the City, the City's obligations affecting the Collateral, in the event the City fails to make such payments or fails to perform such obligations after prior written demand by the Council. In the event the Council makes any such payments or performs any such obligations of the City, then the City shall immediately reimburse the Council for any payments and for any costs and expenses incurred in performing such obligations, including any attorney or other professional fees and expenses incurred by the

Council, together with interest thereon at the annual rate of eighteen percent (18%) from the date such payment, cost, or expense is made or incurred by the Council until the same has been fully reimbursed to the Council. Any debt of the City to the Council under this paragraph is and shall be evidenced by this Note and be added to the Principal Sum owed hereunder.

3.6. Entire Agreement, Amendment, and Severability.

The Loan Documents constitute the entire agreement between the parties with respect to the subject matter hereof. Neither the Loan Documents nor any provision thereof may be changed, waived, discharged, modified, altered, amended, or terminated orally, but only by a Document in writing signed by all parties. If any provision of the Loan Documents should be held by a court of competent jurisdiction to be invalid, illegal, or unenforceable in any respect, the validity, legality, and enforceability of the remaining provisions shall not in any way be affected or impaired thereby.

3.7. Sovereign Immunity.

The State of Wyoming and the Council do not waive and hereby reserve any claims or rights they might have to sovereign immunity by entering into the Loan Documents, and specifically retain sovereign immunity and all defenses available to them as sovereigns pursuant to W.S. § 1-39-104 and all other state or federal laws.

3.8. Benefit of Agreement.

The terms, conditions, and other provisions of this Note shall be binding upon the City, and its respective legal representatives, successors, and assigns, and shall inure to the benefit of the Council, and its legal representatives, successors, and assigns.

3.9. Waivers; Consent to Jurisdiction.

The City irrevocably (i) agrees that any suit, action or other legal proceeding arising out of or relating to this Note or any other Loan Documents may be brought in the District Court for the First Judicial District in Laramie County, Wyoming, or in the courts of the United States of America located in Laramie County, Wyoming, (ii) consents to the jurisdiction of each such court in any such suit, action, or proceeding, and (iii) waives any objection which it may have to the laying of venue of any suit, action, or proceeding in any of such courts and any claim that any such suit, action, or proceeding has been brought in an inconvenient forum.

3.10. Jury Waiver.

IT IS MUTUALLY AGREED BY AND BETWEEN THE COUNCIL AND THE CITY THAT, TO THE EXTENT ALLOWED BY LAW, THEY EACH WAIVE TRIAL BY JURY IN ANY ACTION, PROCEEDING, OR COUNTERCLAIM BROUGHT BY EITHER OF THEM AGAINST THE OTHER ON ANY MATTER WHATSOEVER ARISING OUT OF OR IN ANY WAY CONNECTED WITH THIS NOTE OR ANY OTHER LOAN DOCUMENT.

Section 4. Non-General Obligation.

This Note evidences a loan from the Council to the City. This Note will not encumber, be chargeable, create or constitute a legal or moral obligation or debt of any kind on behalf of or against the City and will not be encumber or be chargeable against the

City's assets, general reserves, general funds, obligation funds, or any other revenues or properties whatsoever, except for those pledged as collateral security herefor.

Without limiting the generality of the provisions of this Section, neither this Note nor any of the Loan Documents (i) shall result in the imposition of any debt upon the City in contravention of any constitutional or statutory limitations or requirements concerning the indebtedness of the City; (ii) shall constitute a pledge of or result in the imposition of any lien, charge or encumbrance upon any tax revenues, cash reserves, or other assets or revenues of the City; or (iii) shall, in the event of a default hereunder or thereunder, entitle the Council to, and the Council shall not have, the right to seek repayment of the principal or accrued interest due under the Loan, or any other sums payable under the Loan, from any source other than the collateral now or hereafter pledged by Granite or its affiliates to the City to secure the indebtedness contemplated by the Development Agreement.

IN WITNESS WHEREOF, the City has caused this Note to be executed by its Mayor and attested by its City Clerk and delivered to the Council for and on behalf of the City, all as of the _____ day of _____, 2014.

ATTEST:

CITY OF CHEYENNE

By: _____
Carol Intlekofer, City Clerk

By: _____
Richard L. Kaysen, Mayor

Approved as to Form Only:

Assistant Attorney General